

intellectuals. They were so impressed by machines that they began to imagine that whole economies could be designed and organized in much the same way.

There were the resources, the engines, the cogs, the screws, the belts, and the drive trains. And there were the control panels too, with levers and knobs that could be used to control the whole process. And guess whose hands were at the controls? The social engineers! Of course, they couldn't design a lawnmower or operate a power saw safely. Still, they saw themselves running an entire economy as though it were a passenger train.

And there, down where the tedious, repetitive work was done, were the poor cogs, the workers who had to be replaced as they wore out. They could "retire" when their useful work-life had been exhausted in order to make room for a new cog fresh out of trade school.

This vision of the way things ought to work was the basic template for Bismarck's social welfare state. Later, it was expanded by the Marxists, who were even more ambitious. They wanted even more control from the cradle to the grave—literally. In their great experiment in the Soviet Union, they told the cogs where to live, how to live, where to work, everything. For a while, they even took care of infants, removing them from their parents and raising them to be good Soviet citizens—that is, good cogs.

The Soviet Union went bust. It was supposed to be a workers' paradise. But in practice, it was more of a workers' inferno. It promised to increase man's material well-being. Instead, it impoverished him.

Economists are still amazed. The Soviet Union managed to take raw materials out of the ground, transport them, smelt them, mold them, press them, bolt them, drill them, hone them, attach them, screw them together, color them, take them to market, and put them on the shelves and finally into the hands of consumers. And what had the USSR accomplished? The finished products were worth less than the raw materials it started with. It was a value-subtracting business on the largest scale ever, losing money on each sale and trying to make it up on volume.

But the vision of "retirement" outlived the Soviet Union. It is now a standard feature of every major economy in the world. People look forward to their golden years—to being able to live off their savings while they